

Introduction to Business

TOPIC 1. The Firm: Types and Objectives



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1. General concepts

1. Concept and nature of business
2. Business functional areas
3. Management process
4. The role of engineers in business management
5. The enterprise and the entrepreneur
6. Types of companies and legal forms



1. Concept and nature of business

¿What is business?



It is an economic activity that **transforms** a set of **inputs** (factors of production) into **outputs** (goods and services aimed to satisfy customers' needs and wants)

Inputs:

- Land (natural resources)
- Labour
- Capital
- Entrepreneurship

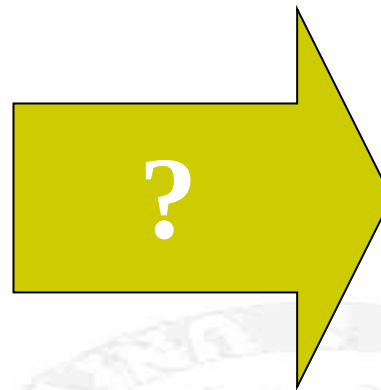
Outputs:

- Goods
- Services



EXAMPLE: Production process of bread

INPUTS

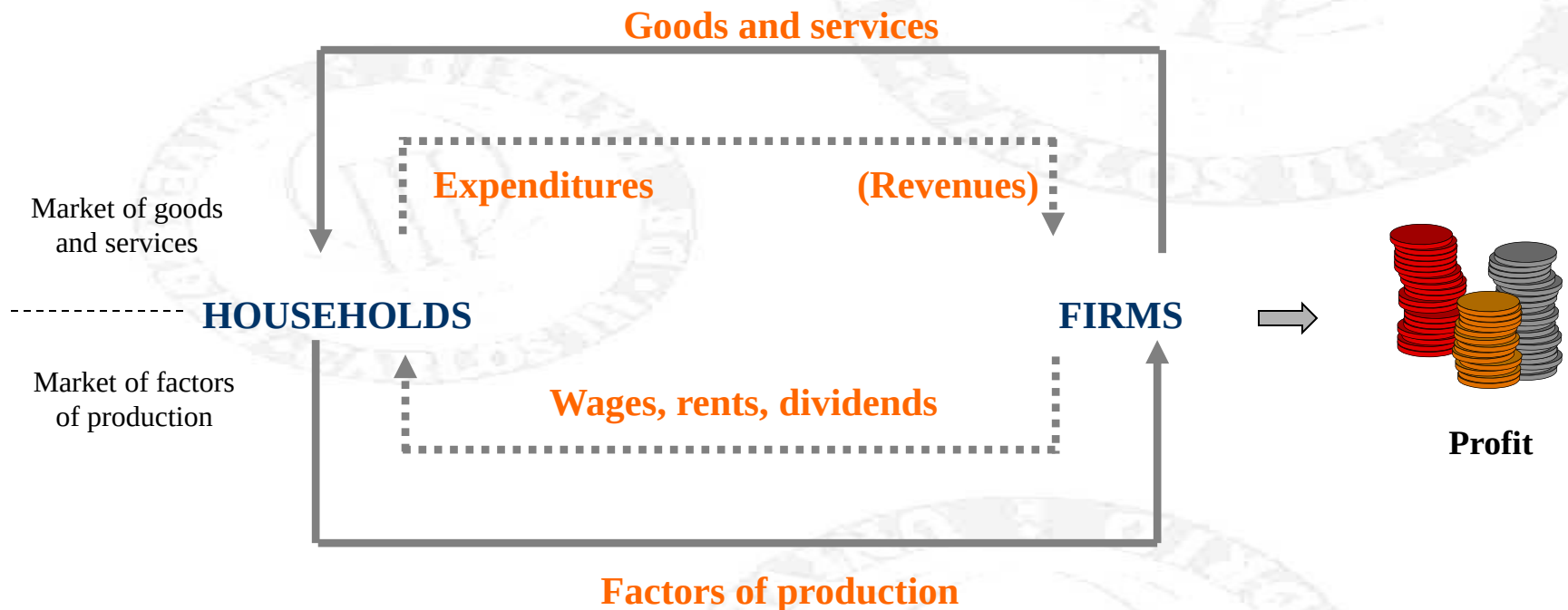


OUTPUT



1. Concept and nature of business

CIRCULAR FLOW OF INCOME



The term **circular flow of income** refers to a simple economic model which describes the reciprocal circulation of income between producers and consumers.

The continuous interaction of the markets of goods and services and factors determine a double flow: **monetary** and **real**, through which the economy of a country decides about what to produce, how and to whom.

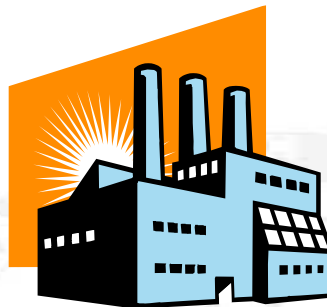


There are two main economic agents:

Households



Firms





Households play a double role:

- On the one hand, they are the owners of the production factors (land, labor, capital, technology and “know how”).



- On the other hand, they are the fundamental units of consumption





Moreover, **firms** use the production factors from households

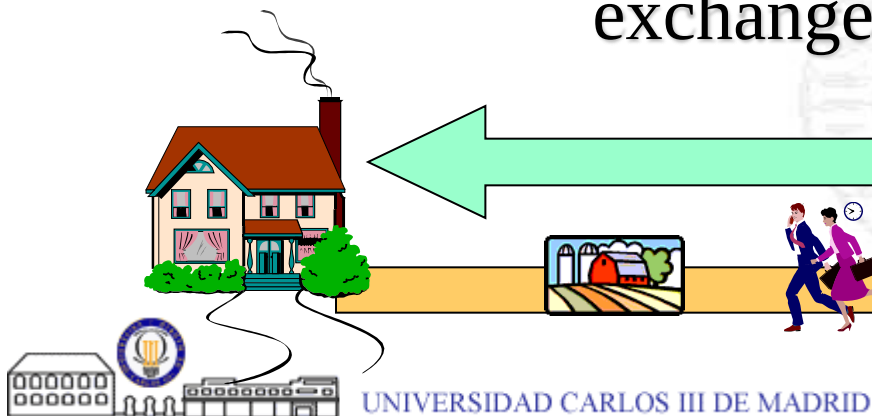
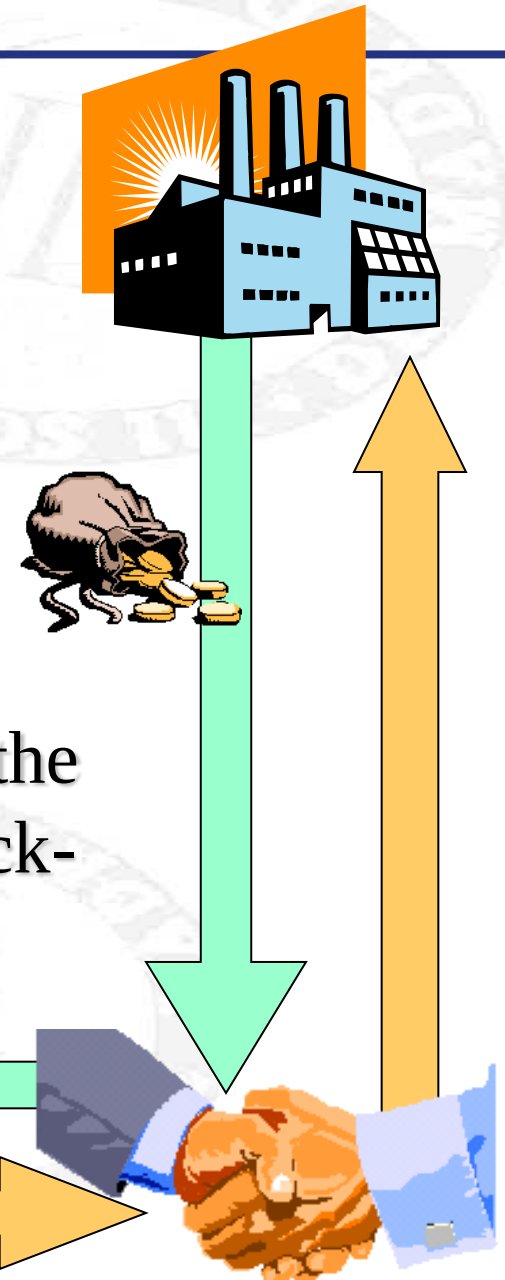


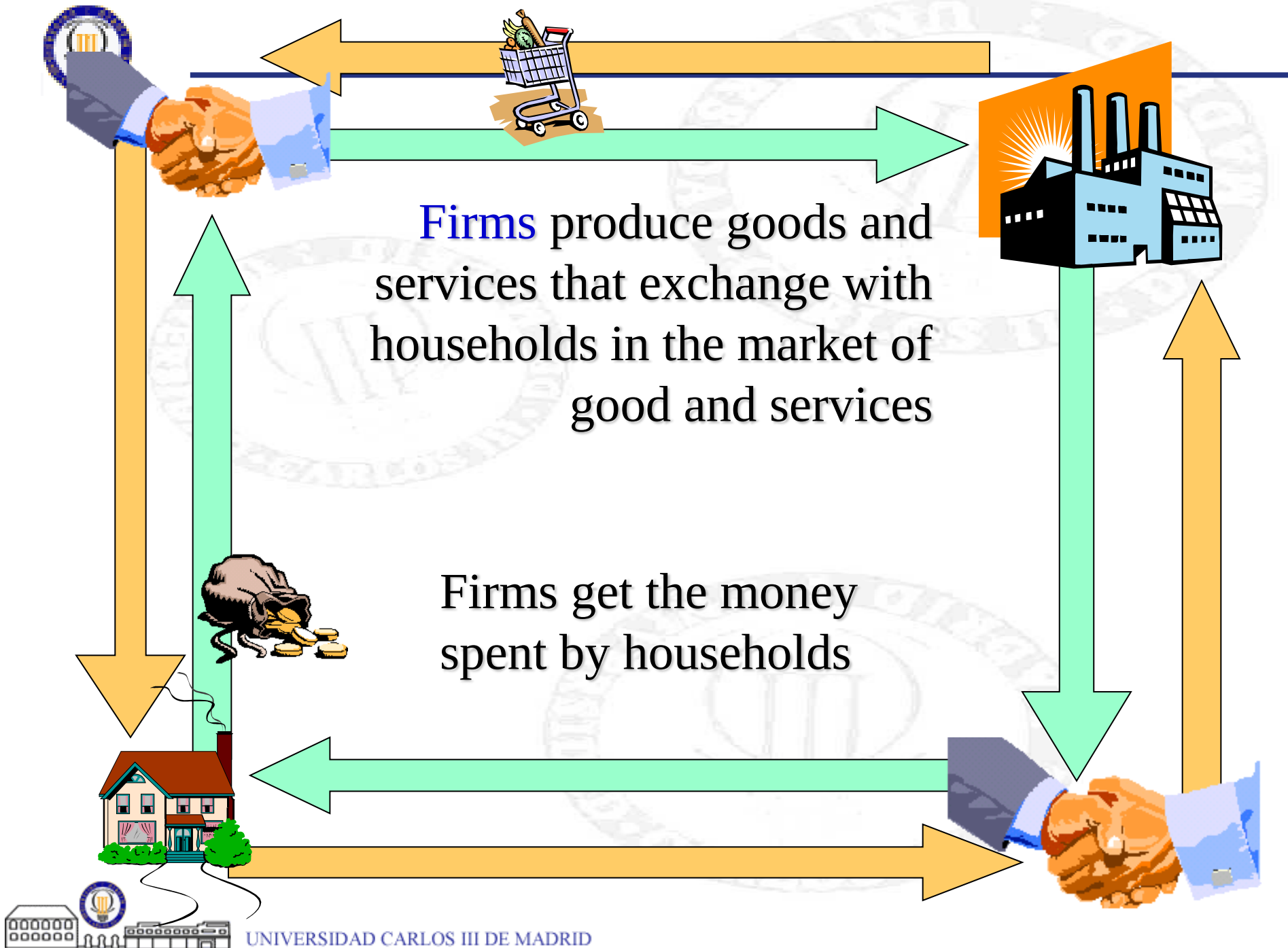
To produce goods and services that households demand

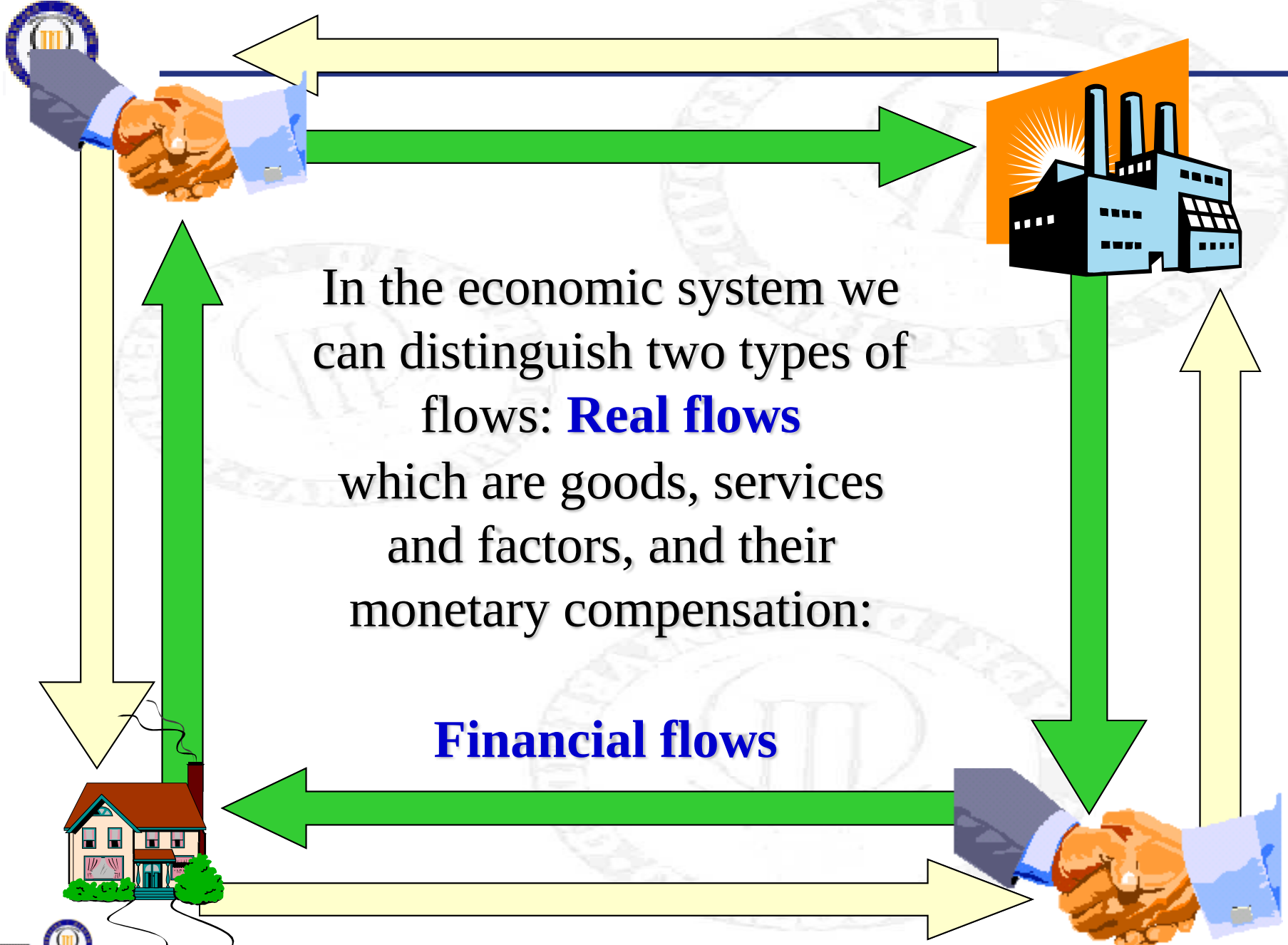




- **Households** deliver inputs to firms and get incomes: wages, rents, dividends
- The exchange is produced through the markets of factors: labor market, stock-exchange market







The diagram illustrates the circular flow of income and products in an economy. It features two main entities: a hand representing the 'Financial Sector' (top-left) and a factory representing the 'Real Sector' (top-right). Four large arrows connect them in a clockwise cycle: a yellow arrow from hand to factory (top), a green arrow from factory to hand (right), a yellow arrow from hand to house (bottom), and a green arrow from house to factory (left). A central text block explains the distinction between real and financial flows.

In the economic system we
can distinguish two types of
flows: **Real flows**
which are goods, services
and factors, and their
monetary compensation:

Financial flows



1. Concept and nature of business

NATURE OF BUSINESS

Economics is the study of how people and a society choose to use scarce resources (factors of production) to satisfy people's unlimited wants

¿How can these needs be satisfied?

Specialization = Division of Labour

COORDINATION

MARKET

ENTERPRISE

An enterprise comes up because there is a **dissatisfied need**





2. Business functional areas

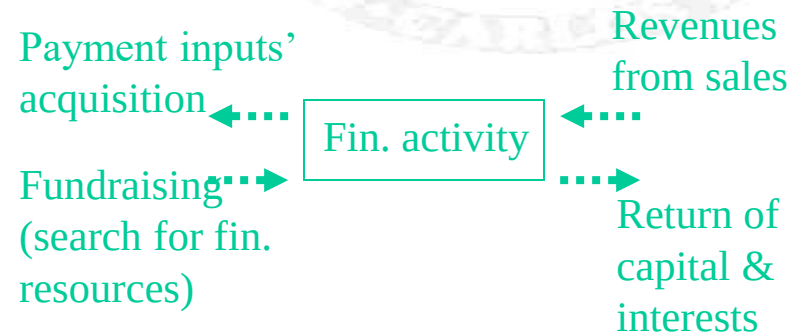
BUSINESS FUNCTIONS

REAL FUNCTIONS



- Functions related to **supply** (acquisition of inputs)
- Functions related to **production**
- Functions related to **marketing**
- Other **support** functions (Human Resources, Information Systems, ...)

FINANCIAL FUNCTIONS



- Functions related to **financing**
- Functions related to **investing**

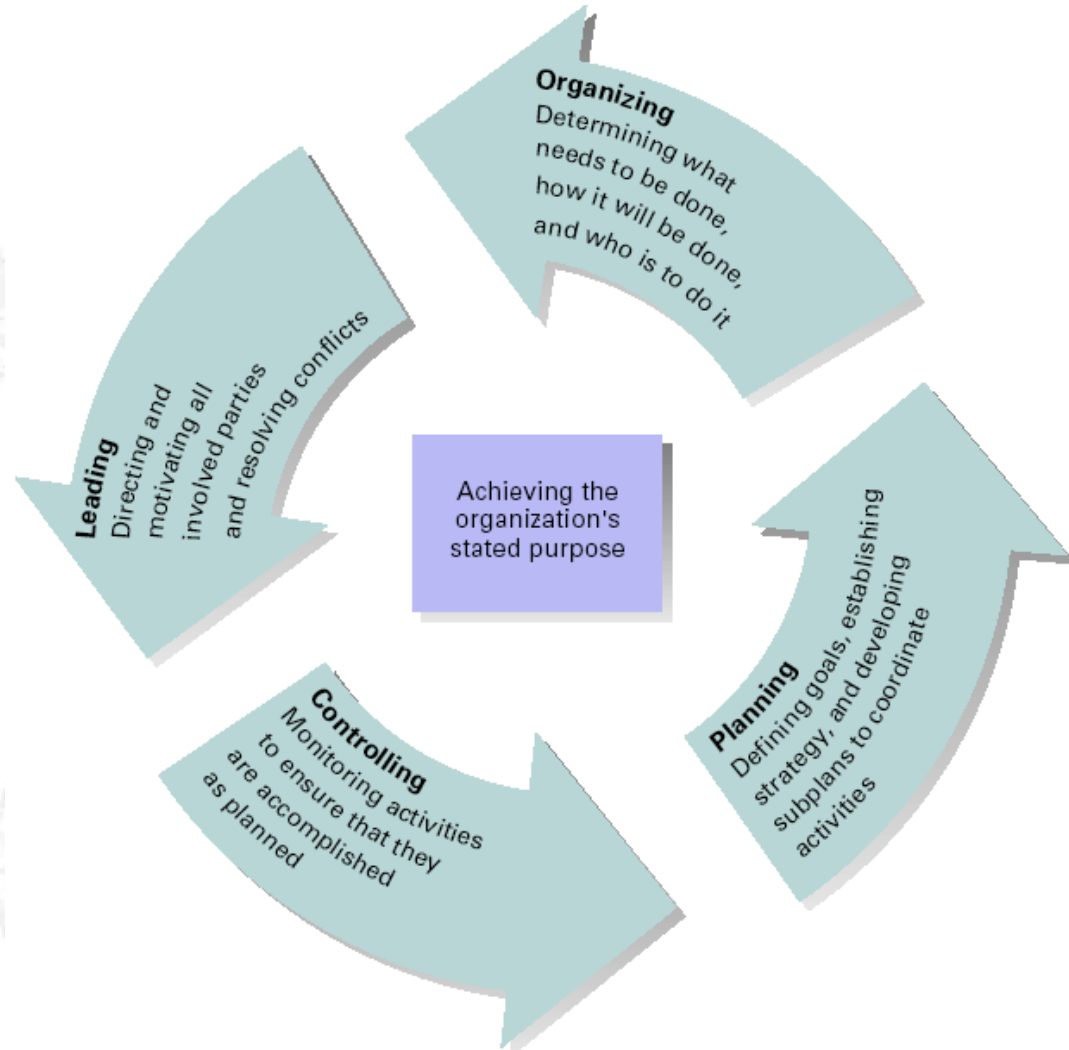
MANAGEMENT FUNCTIONS

- Functions of **planning**
- Functions of **control**
- Functions of **organization**



3. Management Process

Management process:
*planning, organizing,
leading, and controlling*
(Henri Fayol, 1841-1925)





4. The role of engineers in business management

- Effective project planning, time management and problem solving
- Attention to detail
- Experience in data processing
- Computer skills and technical knowledge.



5. The enterprise and the entrepreneur

What is an entrepreneur?



Entrepreneur is a risk taker who starts and operates a business in hope of making a profit

Entrepreneurship is the process of bringing land, labour and capital together and taking the risk involved in producing a good or service in the hope of making a profit

Who is the entrepreneur?



There is no conclusive agreement about **who the entrepreneur is** nor about his/her role in the enterprise. The entrepreneur's duties are not clear, mainly in big companies where there are owners, management directors, moneylenders, ... who seem to share some of the characteristics attributed to a single person: **the entrepreneur**



The enterprise and the entrepreneur

Ideas about who is the entrepreneur



**Entrepreneur
"Coordinator"**



**Entrepreneur
"Risk Taker"
(Knight, 1921)**



**Entrepreneur
"Innovator"
(Schumpeter, 1950)**



**Entrepreneur
"On alert"
(Kirzner, 1973)**

Therefore, the
entrepreneur's functions
are:

- A person who coordinates and controls the productive process
- A person who ensures the payment of the factors of production
- A person who takes risky decisions
- A person who innovates
- A person who detects new business opportunities



The enterprise and the entrepreneur

Internal Organization of the enterprise = Teamwork



Team production requires a CONTROLLER



What is the incentive for performing this task?

**To receive the residual
income or surplus**

**To control and reassign the
other factors of production**

**To be the central party in all
the contracts signed with the
inputs (raw mat, capital (K), HR)**

**To sell the mentioned
rights**

The entrepreneur is the person with all these *rights*



6. Types of enterprises. Classification criteria

Economic criteria

- Sector: primary, secondary, tertiary
- Size: big, medium and small
- Scope of the business: one market / multi-market; national / multinational

Legal criteria

Ownership of the factors of production

- Private companies
- State-owned co.

Main forms of business ownership

- Sole Proprietorship
- Partnership
- Corporation



6. Types of enterprises

**Forms of
business
ownership**

- **Sole Proprietorship**

- **Partnership**

- **General partnership**

- **Limited liability partnership (LLP)**

- **Corporation**

- **Others**

- **Cooperative Associations**

- **Joint ventures**

- **Mutual companies, etc.**



The Sole Proprietorship

A **sole proprietorship** is a business owned by one person, who assumes all the risk, takes decisions and looks for business opportunities. Therefore, he/she owns all the rights

Advantages

1. Simple to start
2. Proprietor owns all profits
3. Personal satisfaction (being your own boss)
4. Sole decision maker
5. No tax on business as distinct from owner
6. Easy to dissolve

Disadvantages

1. Unlimited financial liability
2. Hard to raise funds for expansion
3. Often have no one to share management responsibilities (one person's talents & skills)
4. Impermanence (it is not permanent)





The Partnership

A **partnership** is an association of two or more persons to carry on as co-owners of a business for profit. People form a partnership by entering into a partnership agreement

A **partnership agreement** is a written contract between the owners of a partnership that identifies the business and states the partner's respective rights and duties (name, location, type of business, sharing of profits, dissolving the partnership, etc.)



Advantages and disadvantages

Advantages of the Partnership

1. Few restrictions on starting
2. Pooling of funds, talents and borrowing power
3. More chance to specialize than the sole-proprietorship
4. No tax on business as distinct from owners

Disadvantages of the Partnership

1. Unlimited and joint financial liability
2. Potential for personal disagreements
3. Relative impermanence
4. Frozen investment



The Corporation

A **corporation** is a legally chartered organization that is a separate and legal entity apart from its owners. It has most of the rights that a person has

Advantages

1. Separate legal entity (shareholders are the owners)
2. Limited financial liability of owners
3. Permanence (it can exist forever)
4. Easy transfer of ownership (shares)
5. Greater financial capability

Disadvantages

1. Special and double taxation
2. Complex and costly to form and dissolve
3. Government regulation and public disclosure requirements





Separation of ownership - control (I/II)

Problem of separation of ownership - control:

Problem description:

- Managers just look for their own benefit and the shareholder does not control their way of acting
- Companies are managed by Managers, who are employees and who take decisions and assume risks (professional)
- Managers may take decisions in their interest, disregarding their effect on shareholders
- Shareholders and managers have different access to information and different objectives
- Shareholders do not have enough information to assess the managers' performance, nor incentives to do it. They do not have incentives, either, to improve the management of the business

In large corporations, the Board of Directors guide the business

Managers look for their own benefit



Conflict of interest among ownership and control



Agency problem





Separation of ownership and control (II/II)

Problem of separation ownership - control:

Description of the **solution**:

Shareholders are able to control the Managers' way of acting in order to avoid that they look for their own benefit

Mechanisms of control:

Selecting the Board of Directors

Contracts signed with Managers (goal linked)

Requesting Audits

Additional mechanisms of control: Indicators

More and more, shareholders owning lots of shares are the ones taking decisions



The Cooperative

A **cooperative association** is an incorporated organization whose user-members (owners) get back any revenue left after expenses are paid

Principles

1. Membership is open

2. Owned and democratically controlled by its members

3. Economic benefits are distributed proportionally according to each member's level of participation in the cooperative

4. Based on the values of self-help, self-responsibility, democracy and equality

5. Cooperative members believe in the ethical values of honesty, openness, social responsibility and caring for others





The Cooperative

Some examples:

Employee Credit Unions

They accept savings deposits from members who own shares in the co-op. Members can borrow from the co-op. Savers receive interest, and borrowers pay interest

Agricultural co-ops

They help member farmers market their products

Buying co-ops

They help members buy their products at lower prices

Consumer co-ops

They operate customer-owned retail facilities. Consumers get together and form a buying pool to get quantity discounts and to replace the wholesalers and retailers



Other forms of business ownership

A **limited partnership** is a business in which one or more, but not all, of the partners are liable for the firm's debts only to the extent of their financial investment in the firm

A **joint venture** is a special type of partnership set up by individuals or firms to accomplish a specific task or project. It is very important and usual in international business